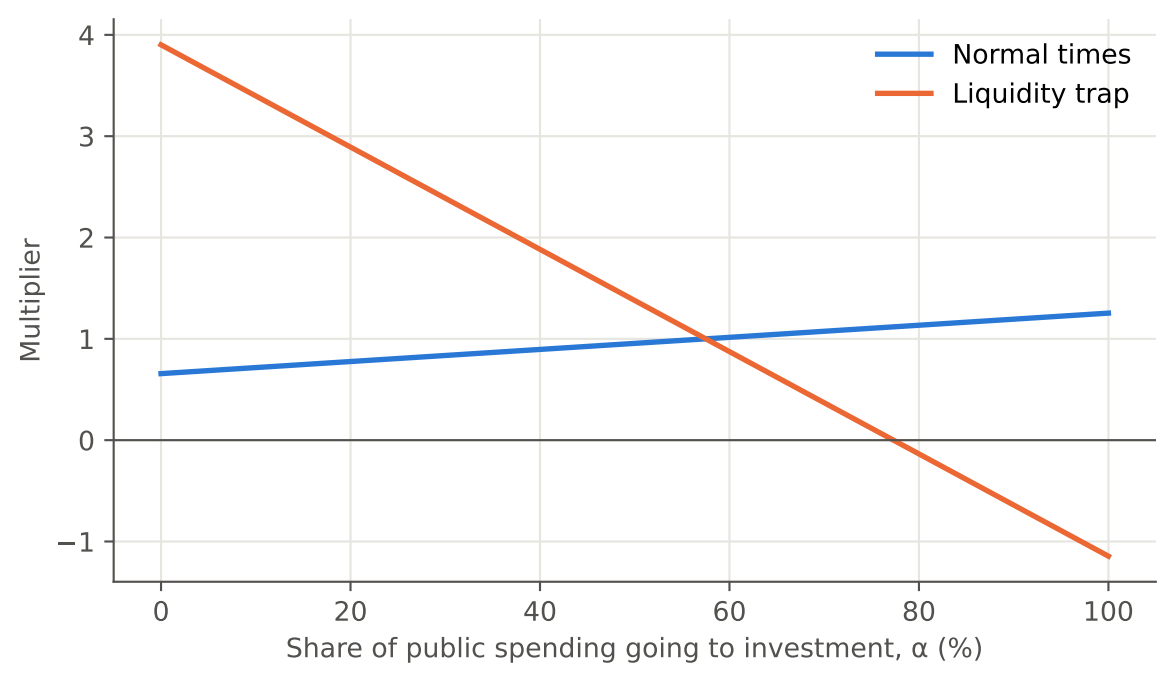
Normal times
Liquidity trap
Multiplier
4
3
2
1
0
−1
0
20
40
60
80
100
Share of public spending going to investment, α (%)